

Arizona's New SAID Law Closes a \$10 Billion Infrastructure Financing Gap

State-level district financing bypasses local politics, unlocking a tool that competing states have used for decades.

The most important number in Arizona's new infrastructure financing law is not the \$5 million minimum project cost. It is the \$347 million. That is the total volume of community facilities district bonds issued in Arizona from 2019 through 2025.

Compare that to \$11.7 billion in Colorado metro districts, \$8.9 billion in Texas municipal utility districts, \$8.4 billion in Florida community development districts, and \$4.5 billion in Utah public infrastructure districts over the same period. Arizona was not just behind. It was structurally excluded from a financing tool that competitors have used to deliver lots at scale.

House Bill 2999, signed into law this year, creates State Affordability Infrastructure Districts formed through the Arizona Finance Authority. The critical change is that local jurisdiction approval is no longer required. The Arizona Finance Authority reviews the petition for statutory compliance, not political viability. That distinction matters because time and uncertainty both show up as costs in the pro forma.

The law allows tax-exempt general obligation, special assessment, and revenue bonds to fund broad public infrastructure, including certain impact fees. The petition requires 100% landowner consent and a minimum of \$5 million in public infrastructure costs. Districts can include contiguous or noncontiguous property, which reflects how real projects assemble. This is the third serious attempt to pass such legislation in Arizona, and the first to succeed.

The effort was led by the Central Arizona Home Builders Association, Valley Partnership, and private sector participants, with drafting by Taft Law and input from Launch, a firm that has worked on district financing since 1991 and has helped write similar legislation in four other states. The capital markets implication is straightforward.

Infrastructure financing districts work because they convert future tax increment or special assessments into current bond proceeds.

That upfront capital pays for roads, water, sewer, and utilities, which in turn allows lots to be delivered faster and at a lower carrying cost. Without the tool, developers either self-fund infrastructure, which ties up equity and limits scale, or wait for municipal budgets, which rarely align with private sector timelines. Arizona's \$347 million in CFD volume over seven years is not a rounding error.

It is a signal that the existing structure was not functioning. The new SAID framework does not guarantee volume will reach Colorado or Texas levels, but it removes the primary bottleneck: local approval risk. That alone changes the underwriting for master-planned communities and large-scale subdivisions. Who benefits? Homebuilders and land developers who can now finance infrastructure without municipal gatekeeping. The Arizona Finance Authority, which gains a new programmatic role.

And homebuyers, because infrastructure costs embedded in lot prices should decline as financing becomes more efficient. Who is exposed? Municipalities that lose leverage over development timing and infrastructure standards. And existing CFD bondholders, if SAID issuance competes for the same tax base or creates overlapping debt structures. What to watch next. First, the volume of SAID bond issuance in the first 12 to 18 months.

Second, the credit quality of the bonds and whether rating agencies treat them similarly to existing district debt. Third, whether other states with weak district financing frameworks pursue similar legislation. Arizona just proved that the gap is not inevitable. It is legislative.

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